Microsoft Advertising

Holiday momentum: Turning insights into action

October 15, 2026



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Today’s speakers



Tina Aird
Global Sales Director
Microsoft Advertising



Chris Vazquez
Analytical Lead
Microsoft Advertising



Brent Brown, Jr.
Analytical Lead
Microsoft Advertising



James Murray
Product Storytelling Lead
Microsoft Advertising

Agenda

01

Microsoft audiences

02

Holiday seasonality and trends

03

Holiday market research

04

Holiday query performance

05

AI ad formats



1.4B+ monthly active Windows users:
Powering nearly 1 in 6 people worldwide

Browser

#2

largest desktop browser

Search

+1B

monthly active users (new milestone as of May 2026!)

Email

#2

largest mail service

Content

#1

desktop news and information service

Social

+1.2B

current members

Gaming

#1

most-played video game of all time (Solitaire)

+500M
monthly game players across platforms

Generative AI

+420M

monthly active users

Source: Microsoft Internal Data 2026 | ComScore, Global Data, Mar 2026 | Microsoft Earnings Report FY26 Q3

116M engaged shoppers in the **UK, Germany and France with more to spend**

United Kingdom

46.7M

monthly unique visitors

+7.4% growth

Germany

38.3M

monthly unique visitors

+4.0% growth

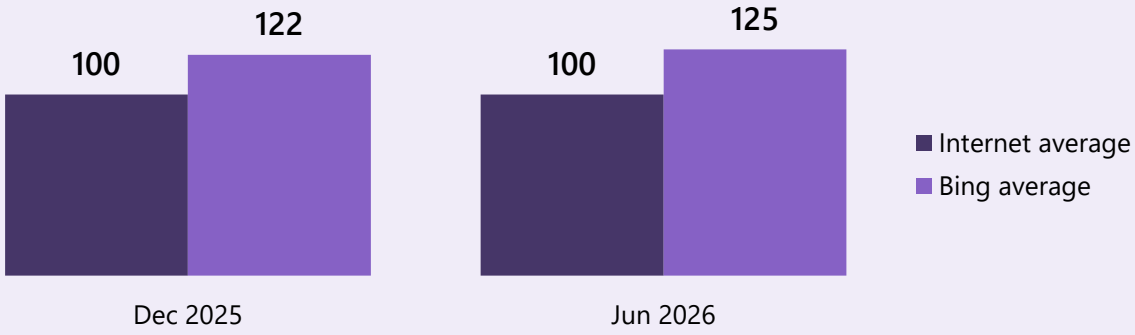
France

31.4M

monthly unique visitors

+2.2% growth

Buying power Index vs. internet avg. (100)



Valuable Scale

Reach shoppers not on other platforms while engaging with cross-platform users. Across EMEA, Microsoft Advertising connects to unique and overlap audiences.

Engagement

Shoppers spend 46–162 minutes on Microsoft properties, and time spent continues to climb across markets.

Buying power

Microsoft audiences index +25% above the internet average on buying power, and the gap is widening with a 3% increase in the last six months.

Numerous, engaged, and able to spend.

Microsoft Advertising

Source: Comscore, Total Audience (Desktop + Mobile), Microsoft Advertising Sites | UK, Germany, France | July 2026; trends Dec 2024 – Jul 2026 and Oct 2025 – Jul 2026. Bing Buying Power Index, US data, Dec 2025 – Jun 2026 (internet average = 100), shown as a directional proxy for EMEA. Comscore, UK data, Audience Duplication Exclusive Users, March 2026

Higher intent, higher value:
a different kind of SMB holiday shopper

Comparing Microsoft Advertising **holiday buyers** vs. Google using Global Web Index

+9%

On average, recent Microsoft SMB online shoppers **skew older in ages** 35-64, which represents a higher mid-career to pre-retirement consumer base.

+26%

Additionally, Microsoft SMB online shoppers tend to **work for larger companies**, especially in companies with 2k to 5k+ employees.

+17%

Microsoft SMB online shoppers stand out in the **high income** segment. This includes the highest income segment (above €200k annual).

Source: Global Web Index, Q4 2025, UK, Recent Online Buyers (3-6 months) from local or independent retailers.

Microsoft SMB holiday shoppers **do more than window shop**

Comparing Microsoft Advertising **holiday buyers** vs. Google using Global Web Index

+14%

Have made a **major retail purchase** within the last six months.

+13%

Discover new brands through search engines. **Brand discovery** users also over-index for review sites, online and streaming ads.

+8%

Extensively research products online before buying it.

Source: Global Web Index, Q4 2025, UK, Recent Online Buyers (3-6 months) from local or independent retailers.



Microsoft holiday shoppers skew toward high-income, mid-career professionals who are digitally savvy and research-driven… **leveraging search, reviews, and digital ads to discover new brands and confidently make recent, high-value purchases.**

Microsoft Copilot Consumer Analysis – Based on GWI Index metrics for UK SMB holiday shoppers 2026

The average UK SMB retail **holiday conversion journey is**

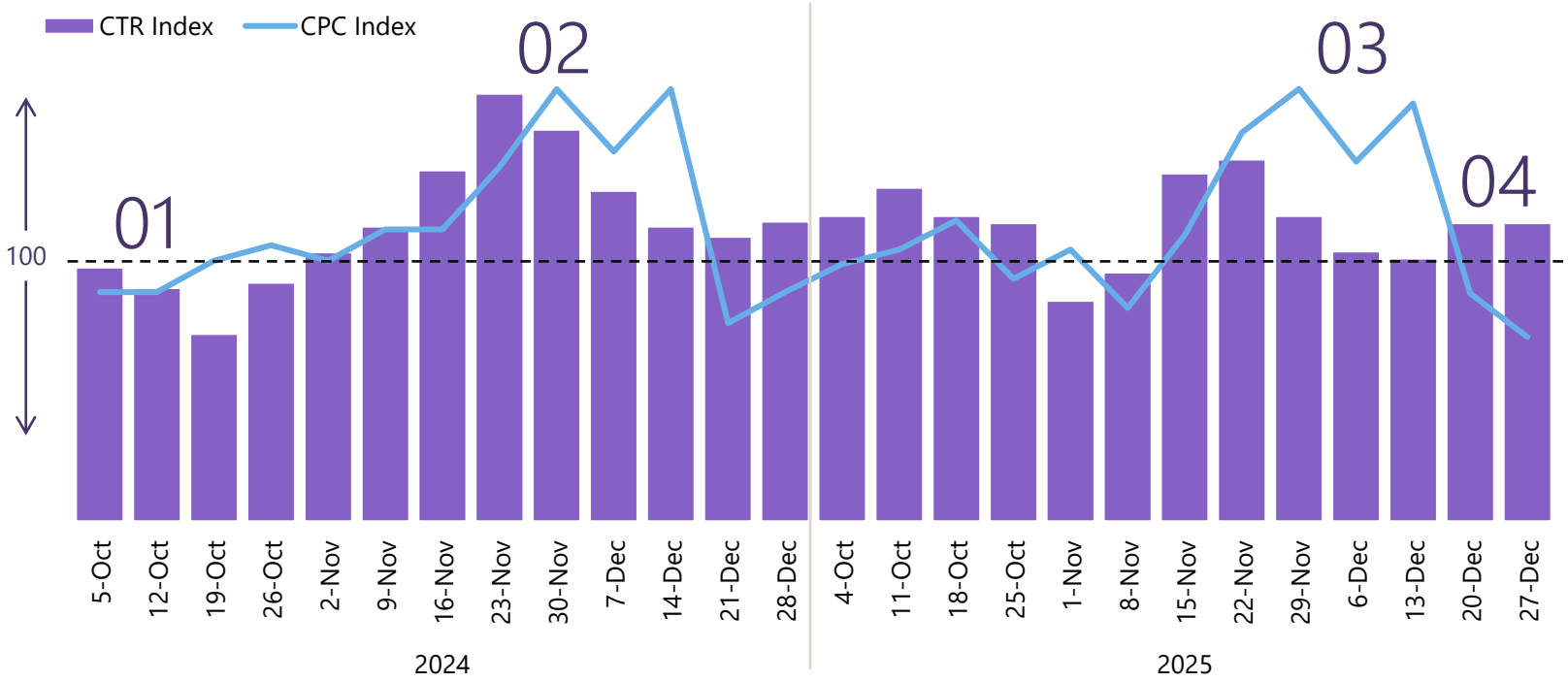
31+ days

Strong visibility throughout the full season is critical to engaging and re-engaging holiday shoppers.

- Last holiday season, the average number of searches per converting user was 18, providing more opportunities to engage.
- Create awareness early with upper funnel Audience ad tactics.
- Build and target robust remarketing lists to re-engage consumers, during and post Cyber-5.

Microsoft Internal | UK, sample of SMB retail active accounts | Retail Holiday Query Path (Conversion) 2025 | Includes Audience Ads

SMB holiday trends show growth and **unique opportunity windows**



Source: Microsoft internal UK//SMB/Retail Holiday season advertiser performance 2024 to 2025. Indexed metrics based on average for Oct-Dec holiday season.

01 October is a prime opportunity to build consideration with low CPCs.

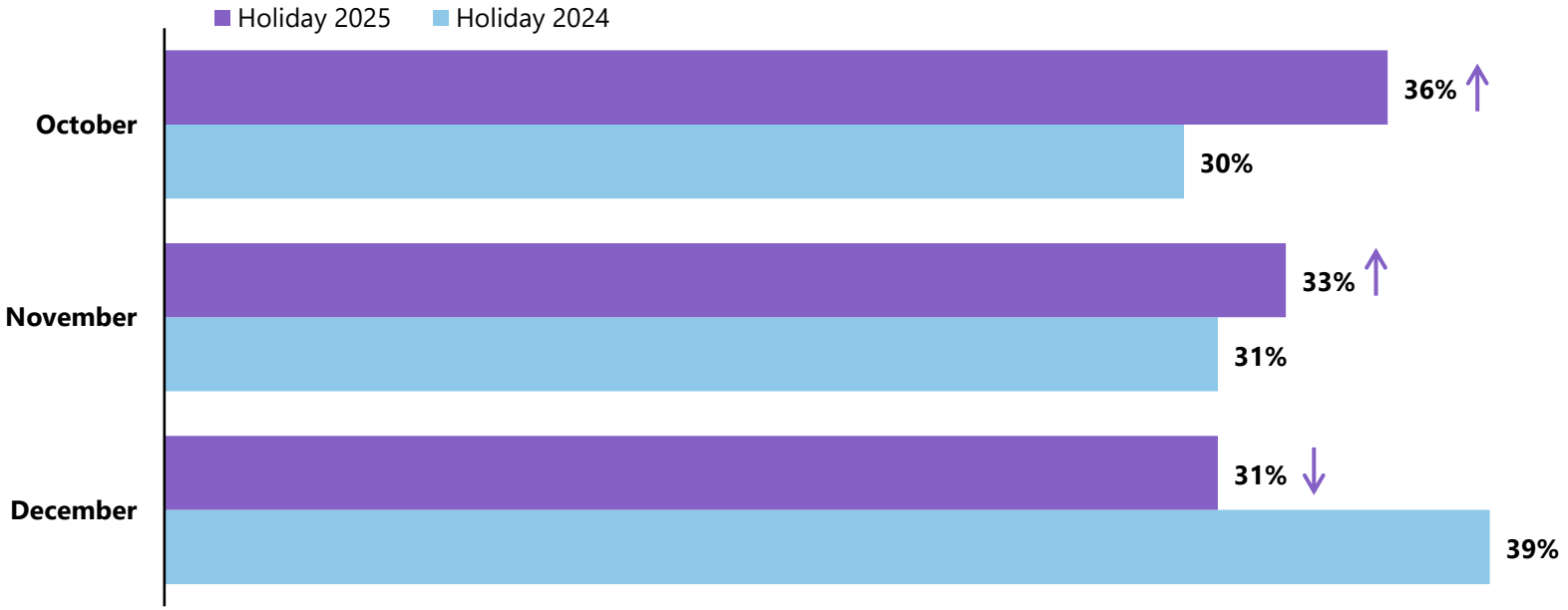
02 CPCs and CTRs peak in mid-to-late November.

03 Although CPC's are elevated, this is prime conversion season. Remain competitive in auctions.

04 Late December sees declining CPCs with approx. one-third of conversions coming late. Win the last-minute shopper here!

UK Holiday conversions are becoming more **evenly distributed throughout the season.**

Although December remains strong for SMB conversions, the spread is starting to even out, showing the importance of October and November in your total Holiday marketing strategy



Microsoft Internal Data | UK | SMB | Retail Conversions | Holiday 2024 compared to Holiday 2025

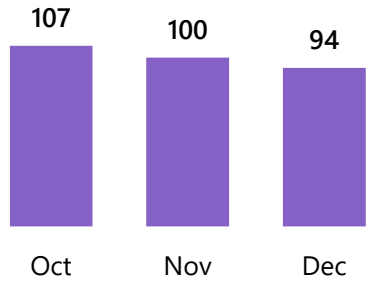
October consistently delivers near a third of all holiday conversions. Early engagement captures deal-seekers and builds brands before November/December while simultaneously earning early holiday conversions.

Middle to end of season accounts for roughly 64% of holiday conversions. **Peak impact falls across November and December.** Scale your spend and messaging post October.

Three markets, three conversion curves.

United Kingdom

Steadiest all season

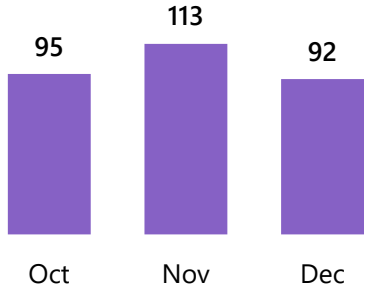


Share of conversions

Oct 36% | Nov 33% | Dec 31%

Germany

Peaks in November

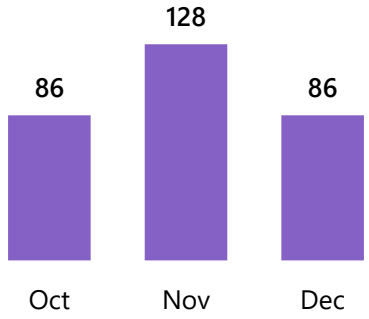


Share of conversions

Oct 32% | Nov 38% | Dec 29%

France

Sharpest November



Share of conversions

Oct 29% | Nov 43% | Dec 29%

Bars = conversion index vs. each market's own season average (100)

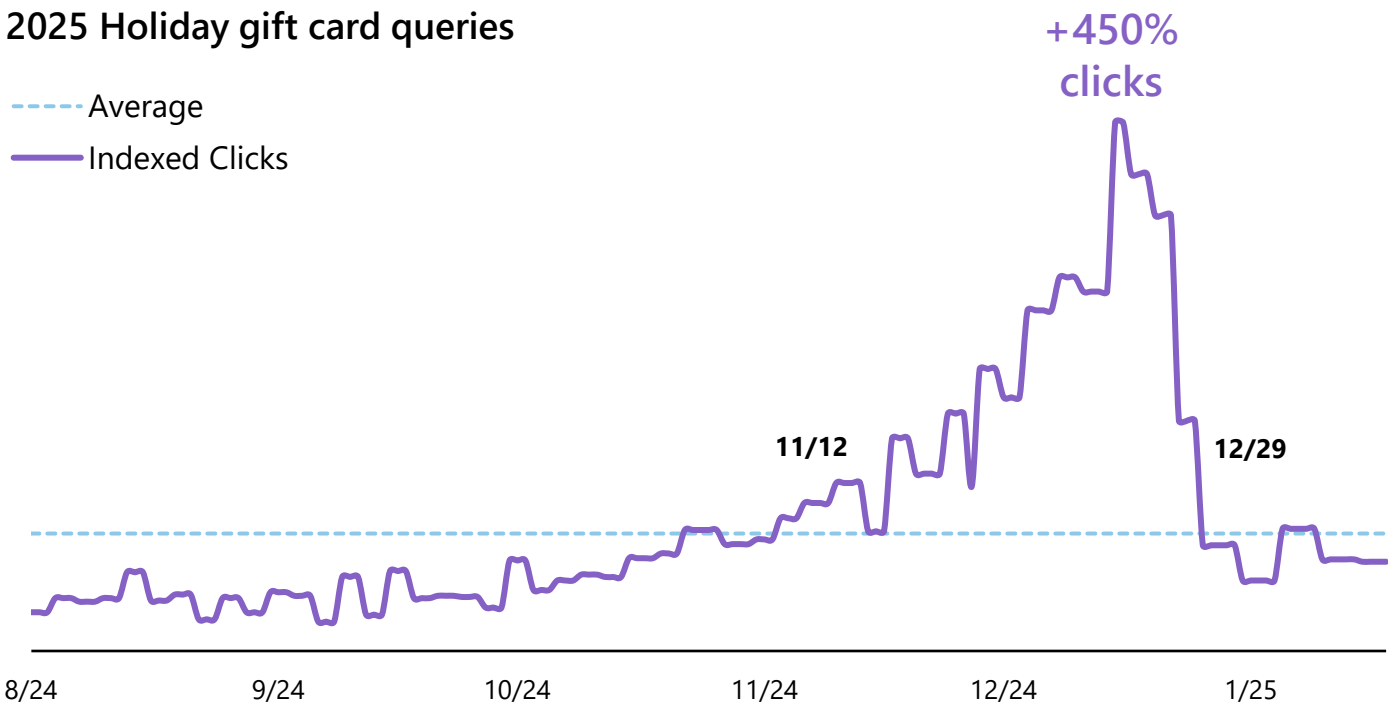
November is a shared signal
Time investment to each market's demand curve. Build into November, then capitalize on lower auction pressure after Cyber Week.

December still delivers
Nearly 1 in 3 holiday conversions land in December. Stay on through the end of the season as buyers convert quicker while CPCs decline

Same season.
Three unique curves.

Source: Microsoft Internal Data | SMB Retail conversions | UK, Germany, France | Holiday Oct–Dec | Each market indexed to its own season average (100).

Win the last-minute **shopper with gift cards**



Source: Weekly rolling averaged indexed clicks, 2025 | Queries containing “gift card” plus like variants | O&O Only | UK Only.

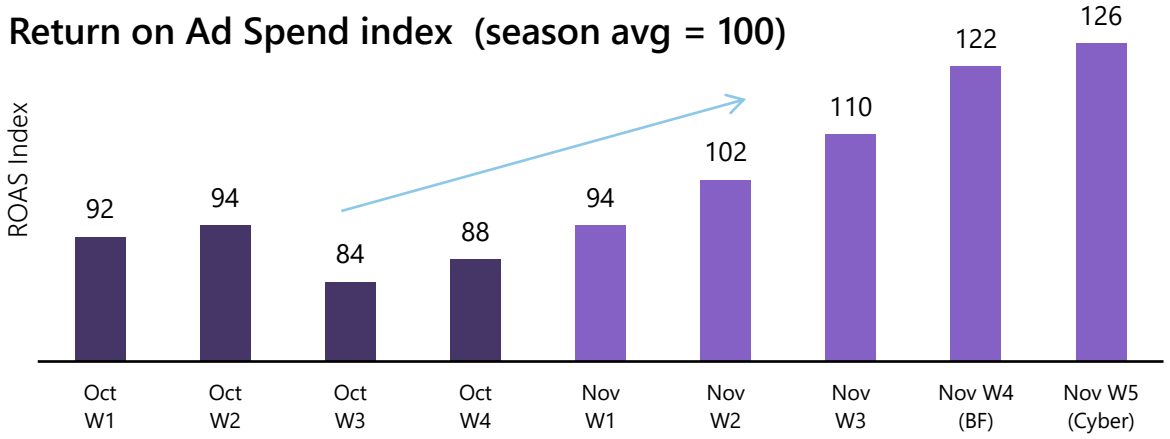
Promote gift card options from mid-November through to Christmas.

- The gift card window of opportunity is sharply defined and actionable—starting mid-November through December.
- Ensure gift cards are included and targeted in your shopping feed to capture peak traffic.
- Consider adding tailored promotions, digital and/or customisable Gift Card options to capture last-minute demand.

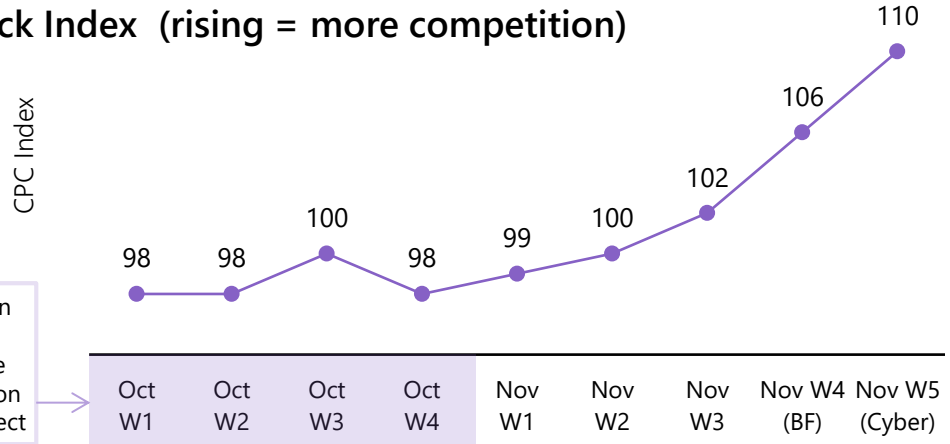
October: Position yourself for **success by capturing valuable first-clicks**

36%
of holiday conversions occur in October

Return on Ad Spend index (season avg = 100)



Cost Per Click Index (rising = more competition)



Action: Activate in October to build audiences before November's auction premiums take effect

Lay the foundation

CPCs remain stable throughout October, providing low-friction weeks to build audience intent before the November surge.

ROAS build into November

UK ROAS continues to climb through November. Activation in October ensures your brand is considered when shoppers are ready to checkout.

First in = win later

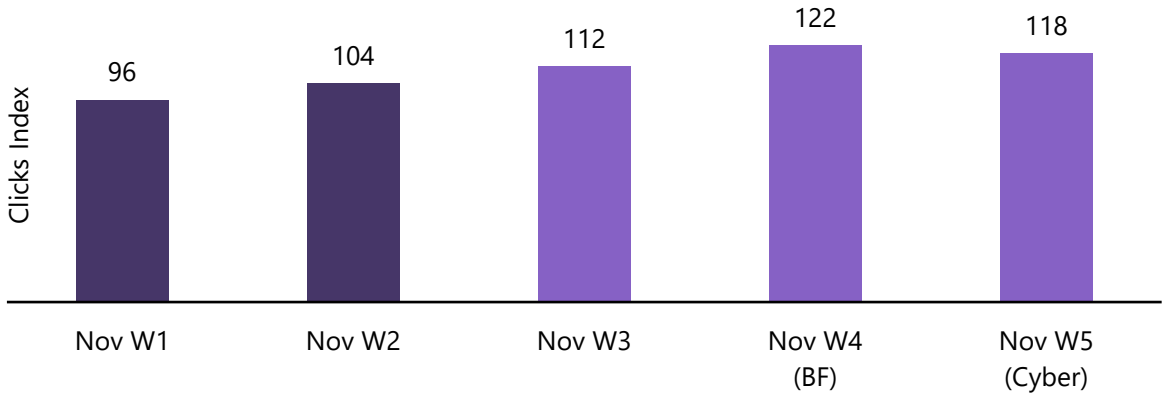
Engage October early birds to build intent ahead of November, positioning your brand to win when promotion-driven shoppers are ready to purchase.

Source: Microsoft Internal SMB Data | UK | Holiday 2025 | All values indexed to season average (Oct–Dec 2024 & 2025)

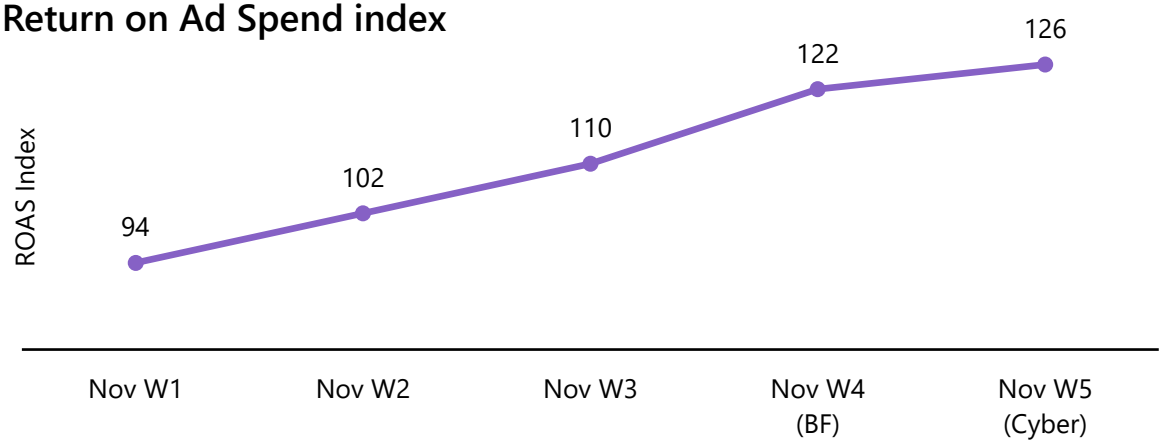
November: **where peak volume meets intent**

1.26x
Return on ad spend vs season avg

Clicks index (season avg = 100)



Return on Ad Spend index



Peak season paired with peak returns on ad spend
ROAS climbs every single week through November without any mid-month plateaus.

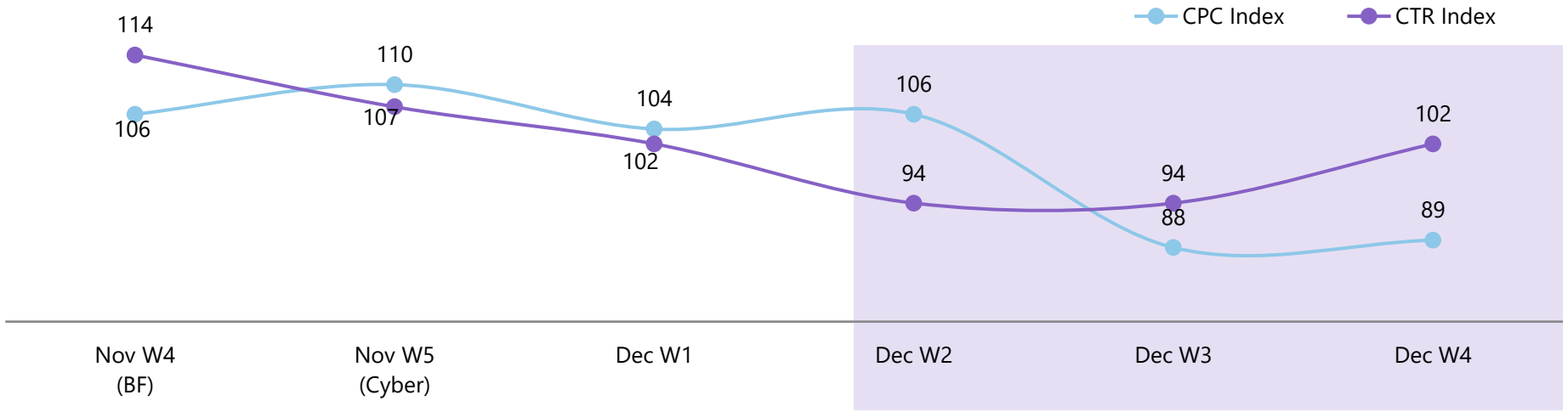
ROAS growth outpaces seasonal CPC increases
Black Friday and Cyber Week deliver the highest seasonal ROAS. CPCs rise modestly while ROAS rises even faster.

Finish November strong
Clicks peak in Week 4. ROAS peaks in Week 5. Remain visible and retarget shoppers throughout the month to win conversions during peak-season.

Source: Microsoft Internal SMB Data | UK | Holiday 2025 | All values indexed to season average (Oct–Dec 2024 & 2025)

December: **a unique opportunity**

-21pts
CPC savings
into late Dec



Gift cards
High intent, low friction

Exchanges
Drive store traffic online

Self-gifting
Treat yourself messaging

In-store bridge
In-stock and local store promos

Elevated CTR, low CPC
High CTRs indicate high intent. Audiences are engaged and click prices are efficient.

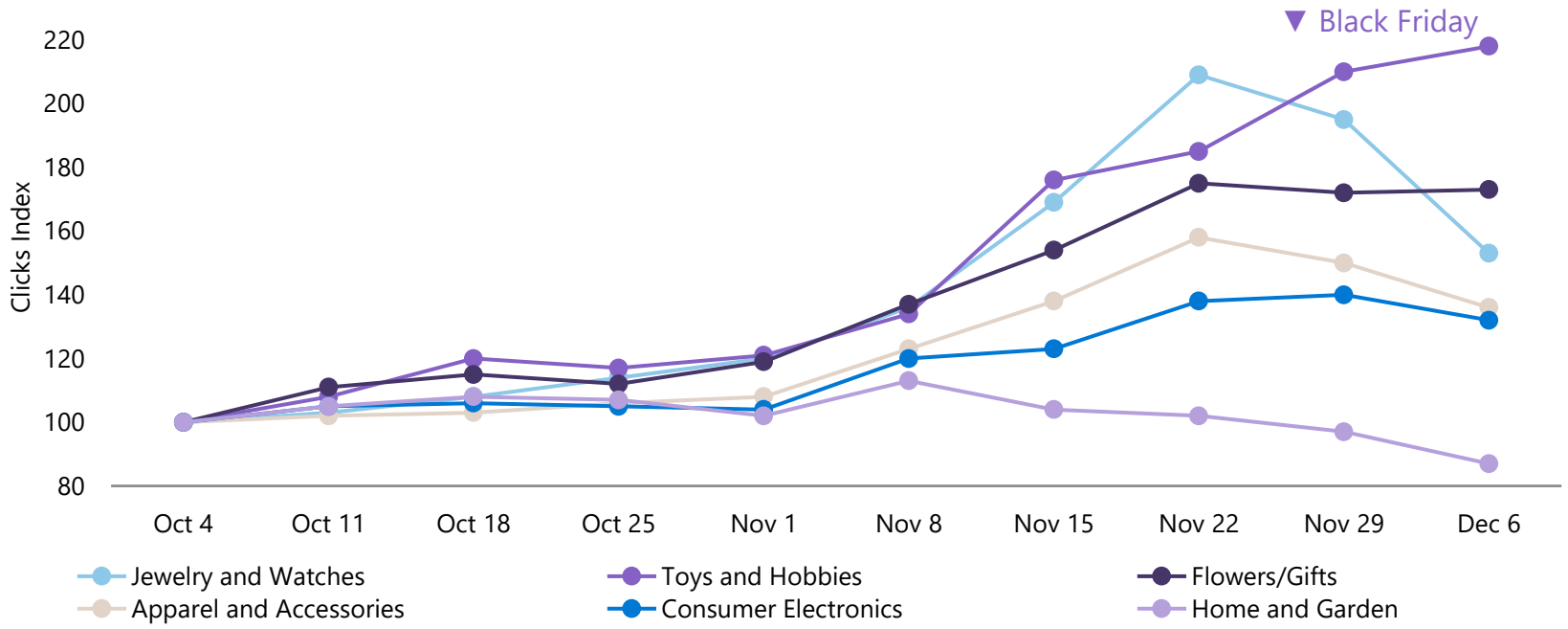
Last minute and self-gifting
Capture late-holiday demand by adapting messaging to self-purchases, gift cards, exchanges, and promotional offers.

Capture demand
Stay agile with promotions to win late-season demand as shoppers condense purchases into a shorter timeframe.

Source: Microsoft Internal SMB Data | UK | Holiday 2025 | All values indexed to season average (Oct–Dec 2024 & 2025)

Retail verticals see steady click **increases into holiday peaks**

UK market ramps earlier and broadly throughout the holiday season



Source: Microsoft Internal Data by L2 Category | UK | Clicks | Retail Sub Categories | Oct 4 – Dec 27, 2025

Toys and Hobbies

Peak +118% · Dec 6
UK's star. Keeps growing all season.
Start Nov 8, hold budget through Dec 6.

Jewellery and Watches

Peak +109% · Nov 22
Peaks a week EARLIER than US.
Front-load and activate by Nov 8 aggressively.

Flowers/Gifts

Peak +75% · Nov 22
Broad Oct growth (+37% by Nov 8).
UK gift culture is more evenly spread.

Apparel & Accessories

Peak +58% · Nov 22
Strong CTR 4%+. Peaks Nov 22 then dips; concentrate spend earlier than in the US.

Consumer Electronics

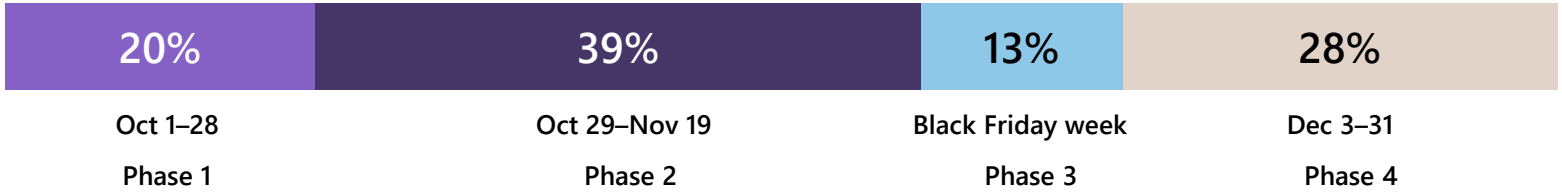
Peak +40% · Nov 29
More sustained ramp than US CE.
Invest from Nov 8 vs waiting to BF week.

Home & Garden

Peak +13% · Nov 8
Slight ramp before November. Not a significant seasonal bump, rather search volume remains consistent through the season.

Black Friday is the peak week **but demand builds steadily from October onward**

Share of EU6 holiday clicks by phase of the season



Why starting early pays off

59%
of season clicks land before Black Friday week

31+
day average conversion journey: early clicks pay out by December

18
searches per converting user, each one a chance to be seen

Source: Microsoft Internal Data | Retail | EU6 | France, Germany, Italy, Netherlands, Spain, UK | Search | O&O only | Weekly indexed clicks, each country indexed to its own Black Friday week peak (100). Conversion journey and searches: Microsoft Internal SMB Data | UK | Holiday 2025.

One week, not the whole season
Black Friday week drives intense action, but remains only 13% of seasonal clicks.

Over half the season is early
Build consideration while clicks are cheaper and shoppers are researching.

Retarget into December
With longer journeys, turn early intent into late-season conversions.

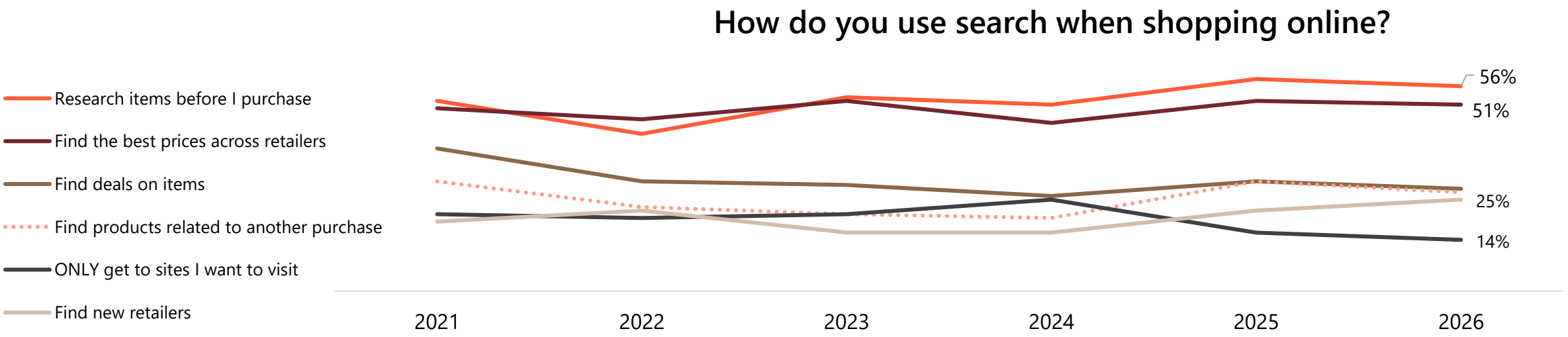
Show up before the surge.

Holiday market research signals intent

Microsoft Users are shopping during the holiday season. The proof is in the research.

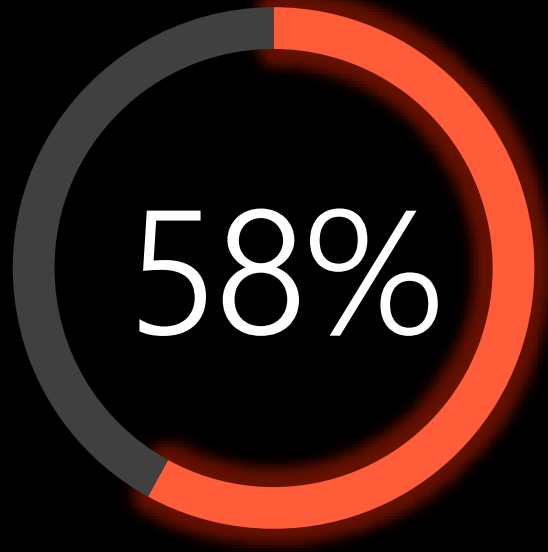


Search is where holiday shoppers **research, compare and discover**

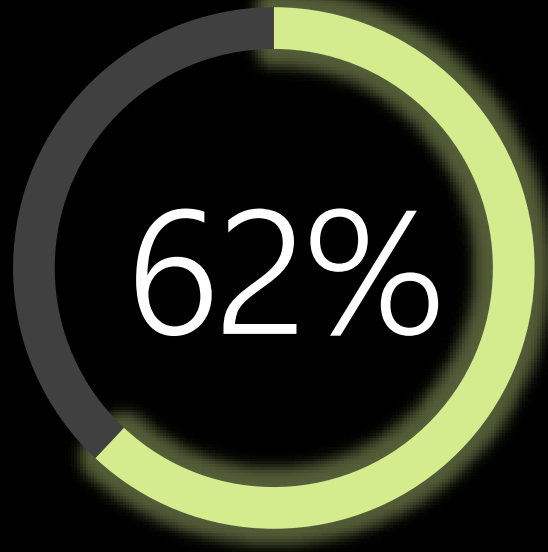


2026 Consumer Trends Holiday Research, UK Only 2021, n= 521; 2022, n=507; 2023, n=504; 2024, n=511 2025, n=500; 2026, n=519 Arrow indicates significant difference from previous year at a 95%CI

More than half of Microsoft users go online with intention **to browse and evaluate before making a purchase**



browse-to-buy users



browse-to-buy users

Third party data | Global web index waves Q2-Q4 2025 and Q1 2026 | United Kingdom | Audience: Users with strong affinity to Microsoft media . Third party data | Global web index waves Q2-Q4 2025 and Q1 2026 | Germany | Audience: Users with strong affinity to Microsoft media

~11 different brands

Average number of brands considered by British shoppers before clicking.

~9 different brands

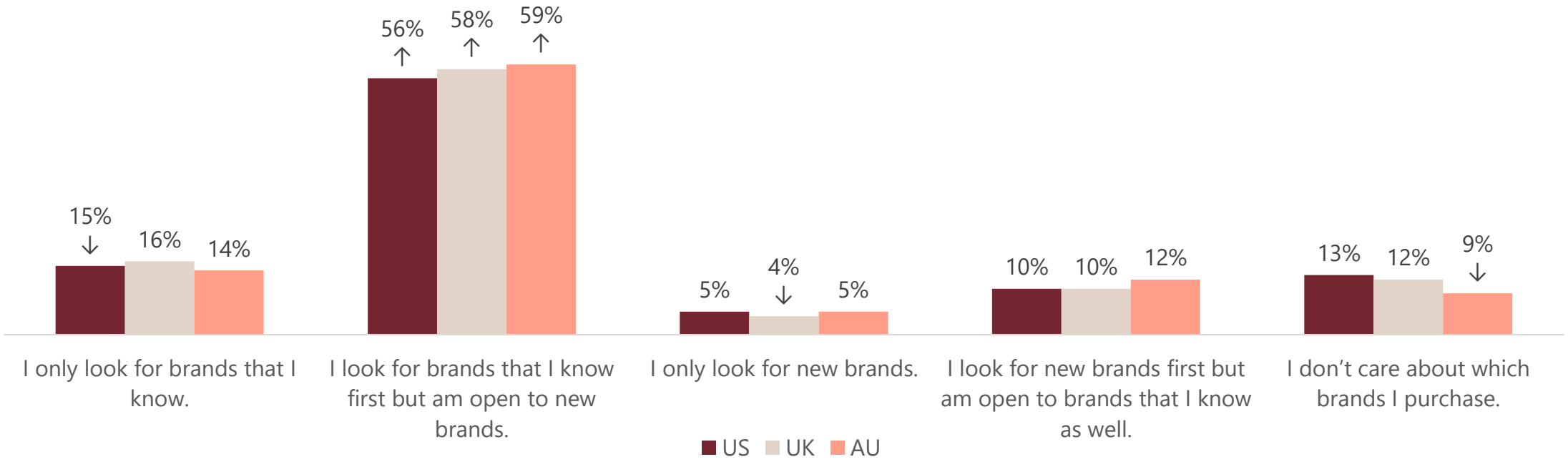
Average number of brands considered by French shoppers before clicking.



How do we best target those before and after?

Even during big sales, **most shoppers stay open to new brands**

How do you shop for brands during shopping events like Black Friday?

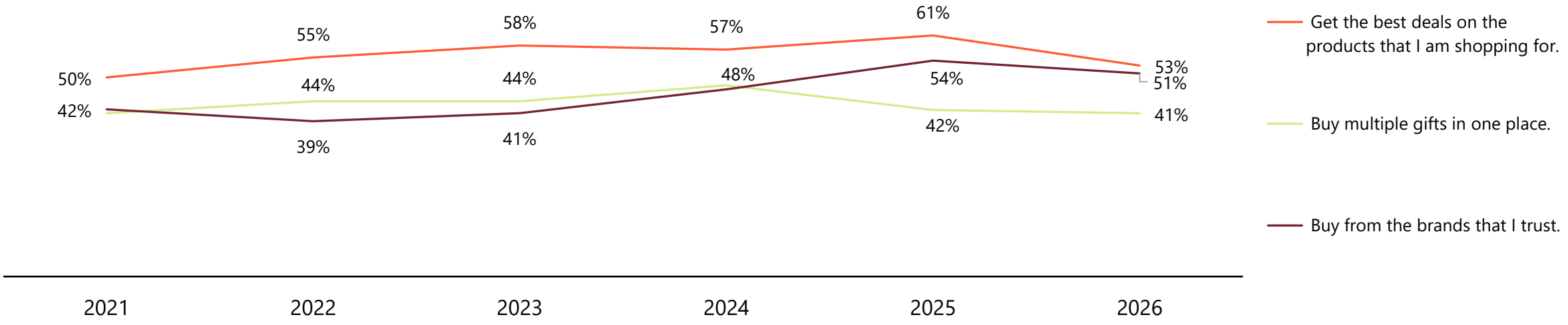


First Party Microsoft Survey, US: 2025, n=999; 2024, n=1001; 2023, n=1015; 2022, n=1019; 2021, n=1023; UK: 2025, n=500; 2024, n=511; 2023, n=504; 2022, n=507; 2021, n=521; AU: 2025, n=301; 2024, n=310; 2023, n=301; 2022, n=306; 2021, n=294

Arrow indicates significant different from previous year at 95%CL

Deals bring shoppers in, **but trust is nearly as big a draw**

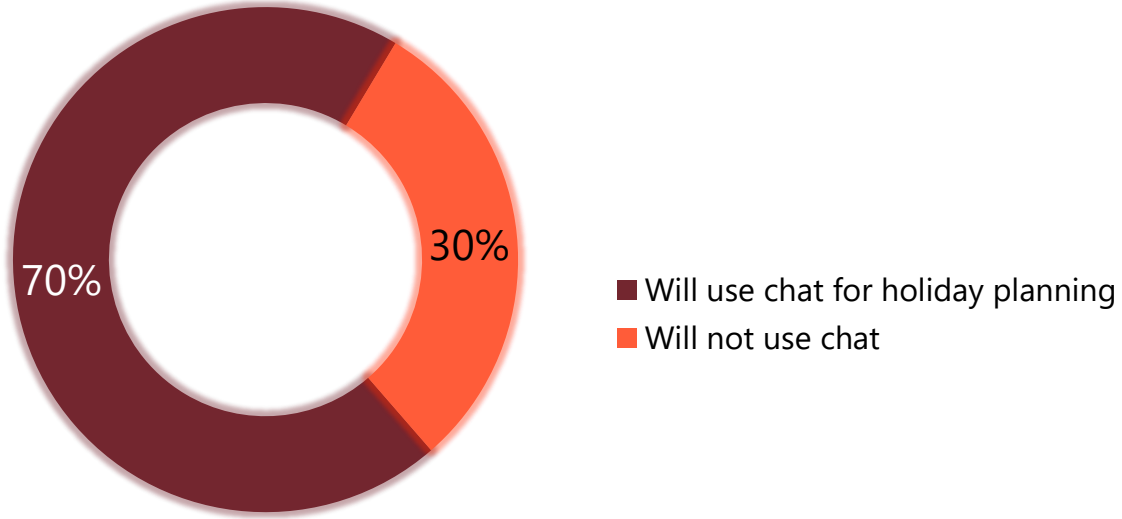
Rank three reasons for shopping Black Friday



2026 Consumer Trends Holiday Research, Shop during major shopping events UK Only 2024, n=348; 2025, n=380
Arrow indicates significant difference from previous year at a 95%CI

Copilot mode: ON for Holiday Shoppers

Chat usage will be impactful this holiday season



Top categories include: finding best prices and deals, brainstorming gift ideas, researching products to buy in-store, comparing gift options, finding ideas, researching travel options.

Source: Microsoft 1P Survey | 15-minute online study | UK | Must shop online at least 1x per month | Fielded April 2026

Consumers will spend more time looking for deals. Research is key to win these planners.

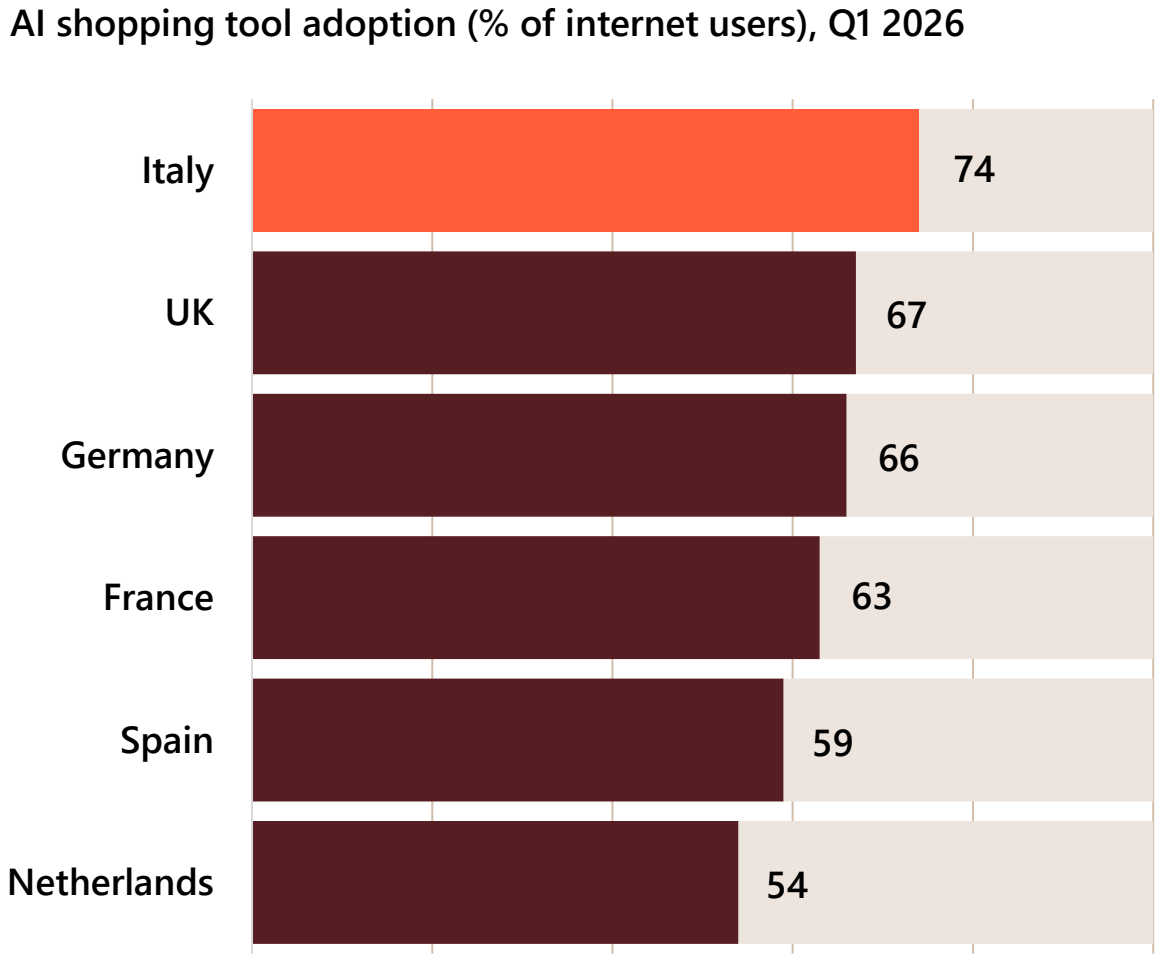
76%
Plan to shop a sales event this year

89%
Are open to shopping new brands

56%
Plan to purchase gift cards

AI adoption is already mainstream across EMEA **with Italy leading**

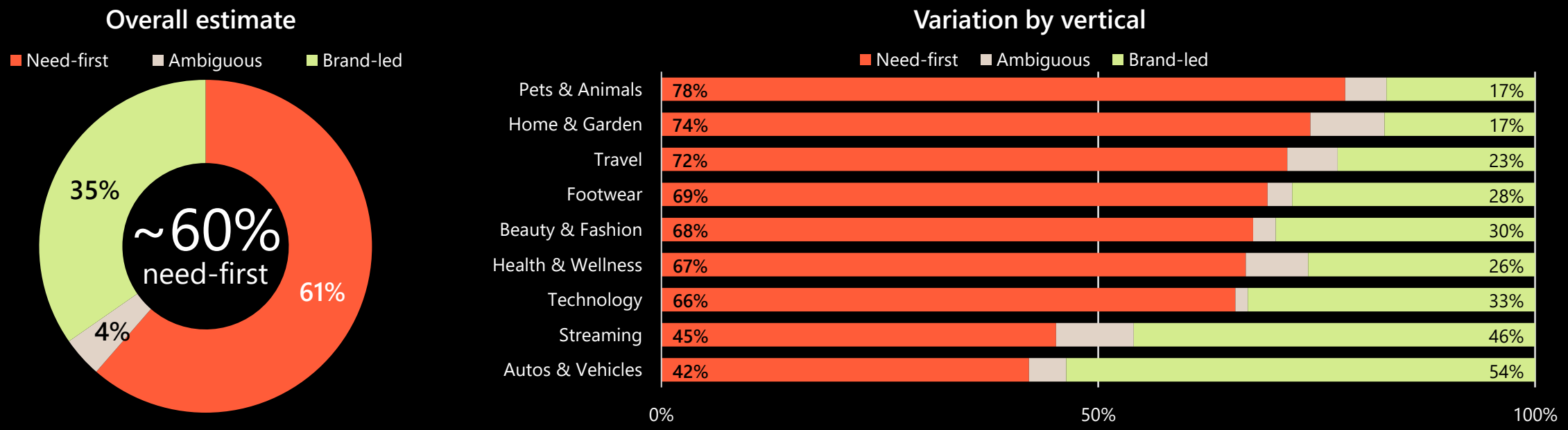
AI has gone **mainstream** in EMEA, focus should shift from adoption to differentiation.



Sources: Eurostat / Trading Economics Mar 2026 · McKinsey Consumer Wise Q1 2026

Shopping sessions are more likely to begin with a need—not a brand

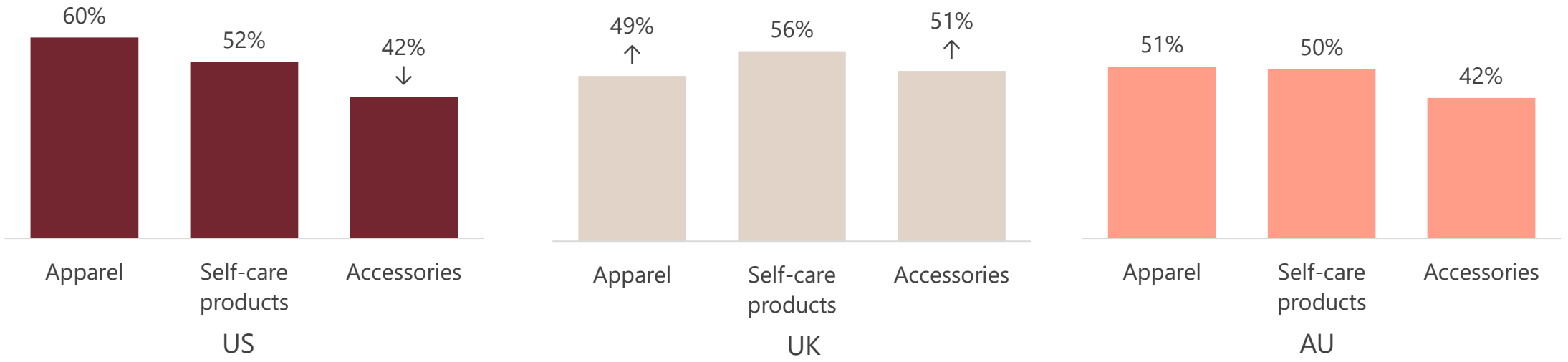
How shopping sessions begin | Post-stratified estimates from independently judged first turns



Microsoft 1P Data | US | Apr–Jun 2026 | Microsoft O&O (Copilot) | sample session-level analysis
Apr–Jun 2026; matched, post-stratified estimates across 9 non-exclusive category populations (5,400 conversation-category rows / 5,089 unique conversations; 600 rows per category

Shoppers are planning to treat themselves **with apparel, self-care, and accessories**

What kinds of gifts do you plan to purchase for yourself?



First Party Microsoft Survey: Purchase gifts for themselves, US: 2025, n=779; 2024, n=787; UK: 2025, n=409; 2024, n=386; AU: 2025, n=247; 2024, n=247

Arrow indicates significant different from previous year at 95%CL

The holiday shopper is taking their time, **keeping options open, and asking AI for help**

01

Taking their time

56% of UK shoppers research before buying, and 51% compare prices across retailers.

02

Keeping options open

Depending on the market they weigh about 9 to 11 brands before clicking, and most stay open to new ones.

03

Asking AI for help

AI chat is entering holiday planning, and most Copilot shopping chats we analyzed start with a need, not a brand.

Show up early, build/display consumer trust, & earn a spot on the shortlist.

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The holiday shift: How AI changes where you win

James Murray
Global Product Storytelling Lead, Generative AI



Discovery starts earlier **and is being rewritten by AI**

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Holiday shoppers are seeking inspiration **and AI experiences are influencing their research**

3X

queries containing idea seeking, custom gifting, or general inspiration strings[1] have roughly tripled YOY.

11%

YOY increase in query length.

70%

of EMEA survey respondents plan to use AI chat for holiday planning.

[1]Holiday season queries containing “ideas,” “pinterest,” “etsy,” “inspiration,” etc. 2. Microsoft Internal | Retail Holiday Query Path (UET) Oct – Dec 2024, 2025 | O&O Only | Does not include Audience Ads

Marketers have
to operate across
three eras of the web

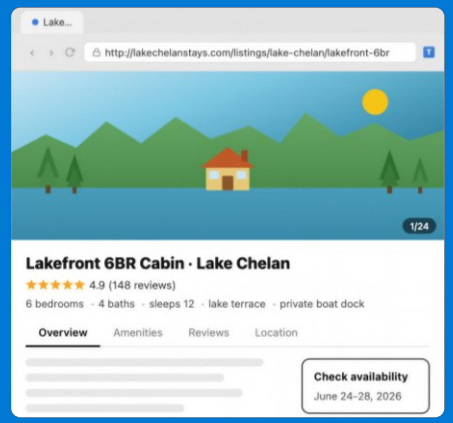


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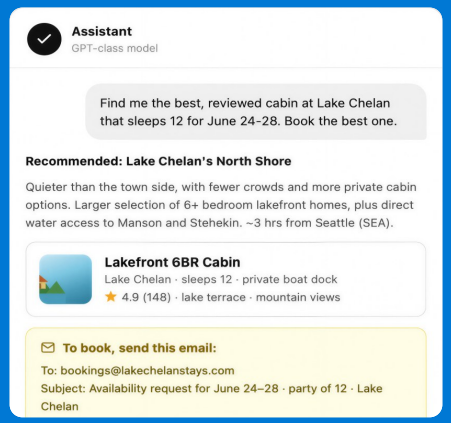
Engage high-value shoppers **across all three eras**

For Advertising

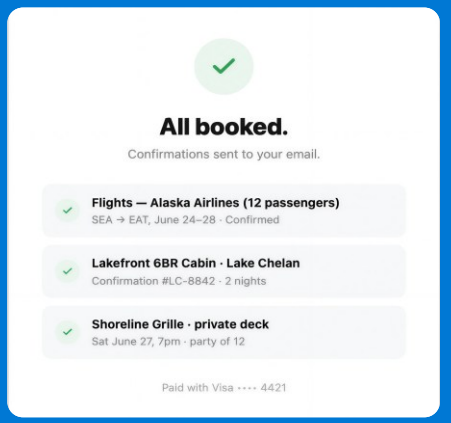
For AI engagement



Do it yourself
Websites and Apps
1990s–present



Ask AI, then do it yourself
LLMs
2022–present

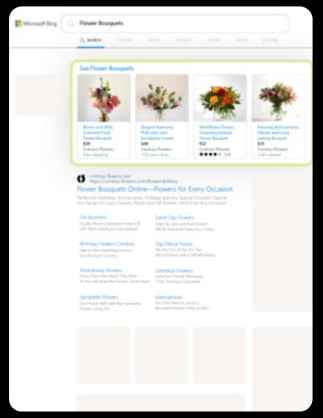


AI acts for you
Agents
2026 onward

Your marketing strategy should **still prioritize the human web**, which will drive most of your holiday sales

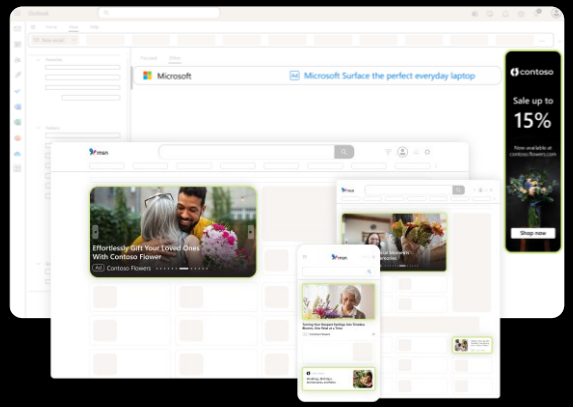
Search ads

Generate and capture high intent with proven ROI



Premium display

Engage consumers as they browse



Premium video

Build brand awareness that compounds in high-attention environments



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This holiday season, you also have to prepare for your fastest-growing audience:

LLMs and agents



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8X

Automated traffic is growing 8x faster than human traffic.

3X

AI-driven sessions tripled in 2025 alone.



HUMAN Security, The 2026 State of AI Traffic & Cyberthreat Benchmark Report: AI, Agents, Bots, and the New Threat Landscape

Microsoft Advertising

“Copilot, what are the best matching holiday PJs for families this year?

It **reasons**. It **decides**. It **buys**.

But does it pick your brand?

Query fan-out: the demand keyword targeting can’t see

Copilot turns one shopping prompt into many search queries.

Advertisers targeting only the obvious keywords miss most of this demand.



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01
Human prompt
One natural-language question

"Copilot, what are the best matching holiday PJs for families this year?"

02
Query fan-out
Parallel retrieval and grounding queries

- Top holiday PJs for families 2026
- Best quality holiday PJs for families
- Cutest holiday PJ patterns
- Trending holiday PJs this year
- Holiday PJs for families for under $30

Synthesis

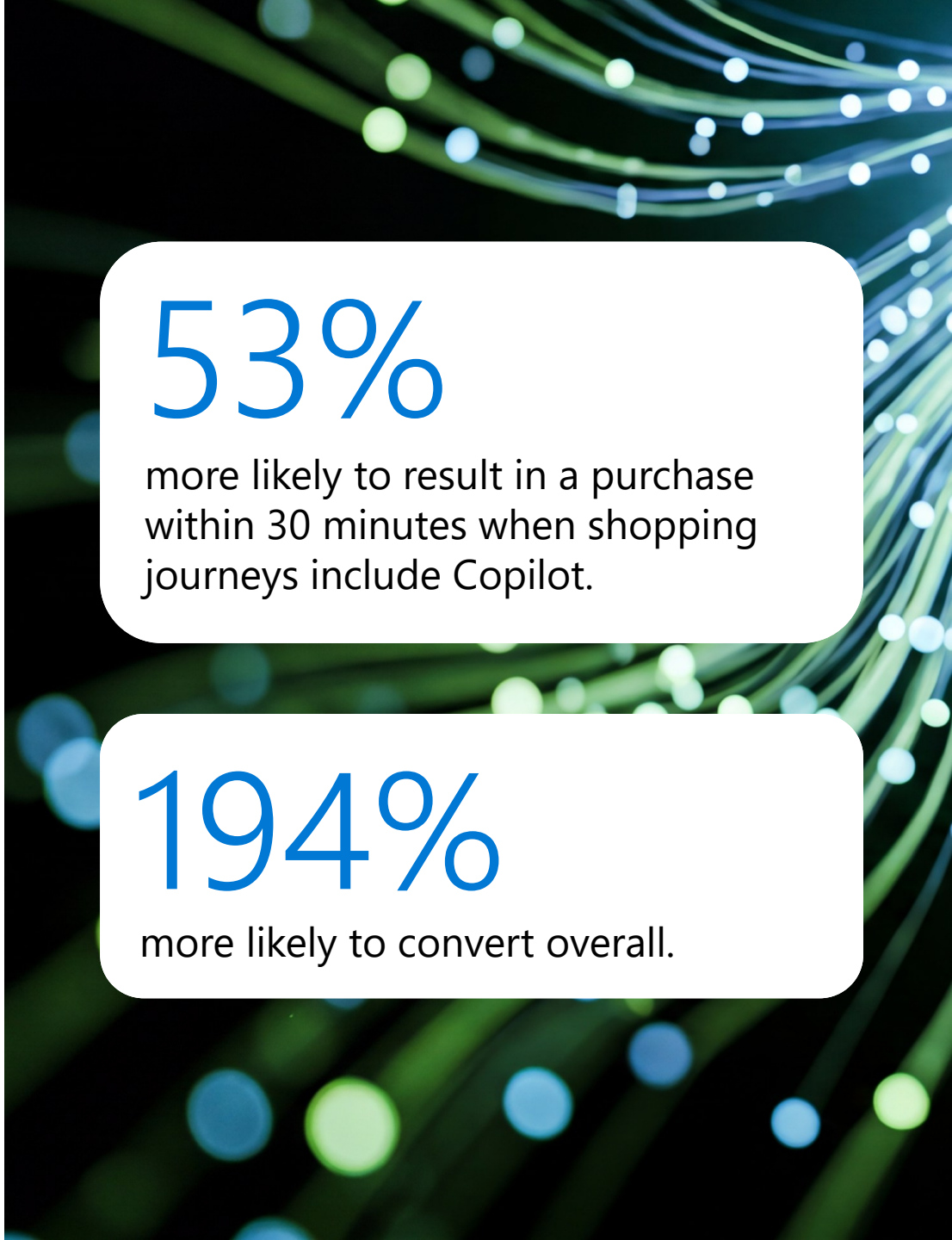
03
AI-generated answer
Synthesized, grounded response

For matching family holiday pajamas, **Hanna Andersson** is the premium option, known for high-quality fabrics and timeless designs, while **Old Navy** offers the best value with a wide range of affordable family sets.

Target's Wondershop collection is a great blend of style and convenience, **Burt's Bees Baby** is ideal for families with young children thanks to its soft organic cotton, and **Little Sleepies** is a favorite for ultra-comfortable bamboo pajamas and modern prints.

Why it matters: Fan-out queries may not match a keyword list. Capturing this demand means moving up funnel, before shoppers type the obvious search.

AI experiences also accelerate intent **and improve conversion rates**



53%

more likely to result in a purchase within 30 minutes when shopping journeys include Copilot.

194%

more likely to convert overall.

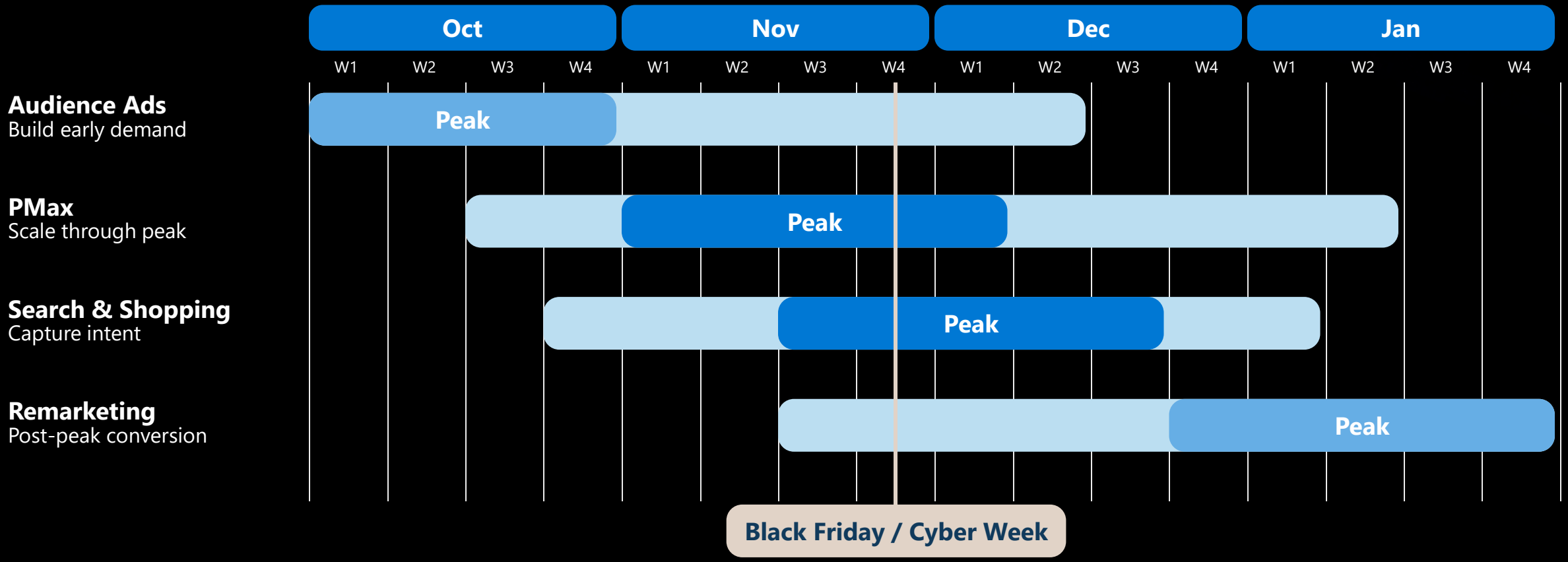
Your job
this holiday season
is to make sure AI is telling
your story

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Get your brand top-of-mind as holiday shopping starts **and be there when demand hits**

Build awareness before the season begins	**Brand solutions** Video-first buy across premium CTV, Xbox, MSN, and more to drive measurable brand lift
Drive consideration as shoppers narrow down their gift lists	**Audience ads** Premium display and immersive image formats to engage consumers browsing the web
	AI Max and Performance Max Unlock new queries with keywordless targeting and serve on AI surfaces like Copilot Search Win new business on Performance Max with the New Customer Acquisition goal
Capture intent and close the sale	**AI Max and Performance Max with Shopping** AI-powered performance on Search and Copilot, or across channels and Copilot

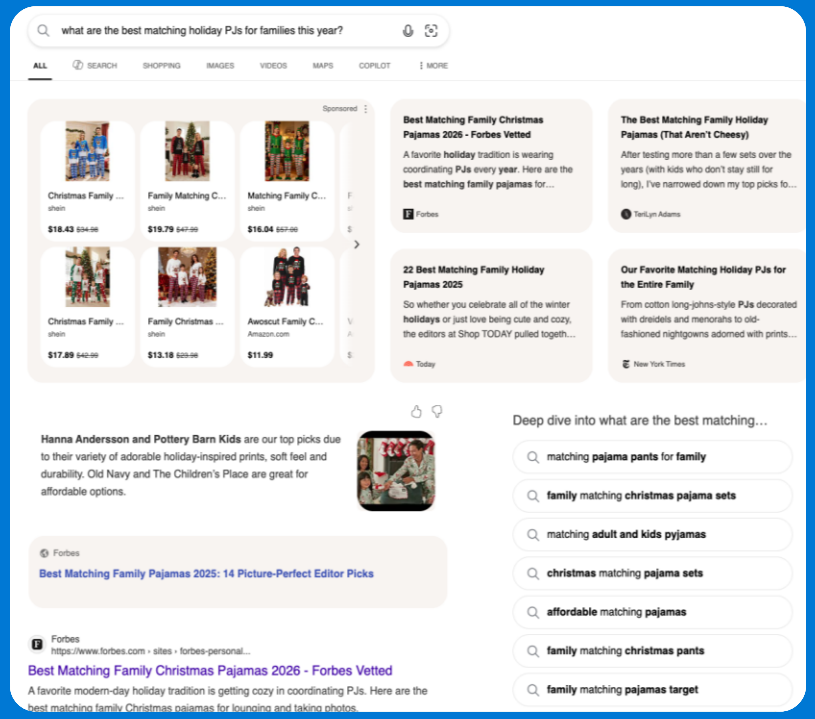
The holiday activation calendar: what to run, and when

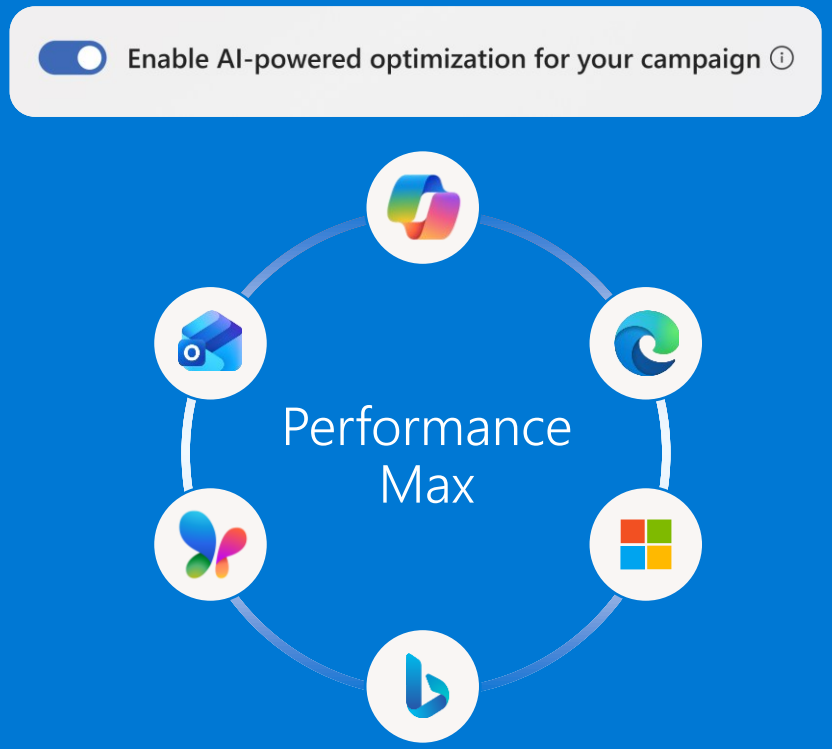


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Cross-market sequencing guide. Bar length = active period; darker segment = peak intensity. Calibrate exact weeks to each market's demand curve.

PMax and AI Max help you deliver better **Copilot ads on Bing and in the Copilot app**

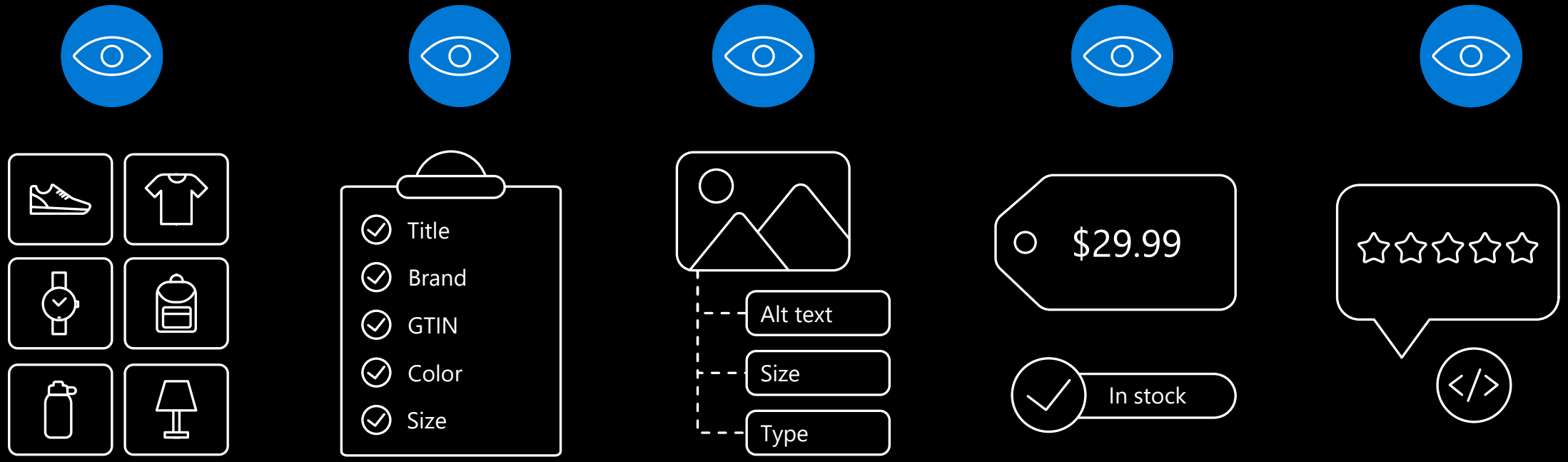




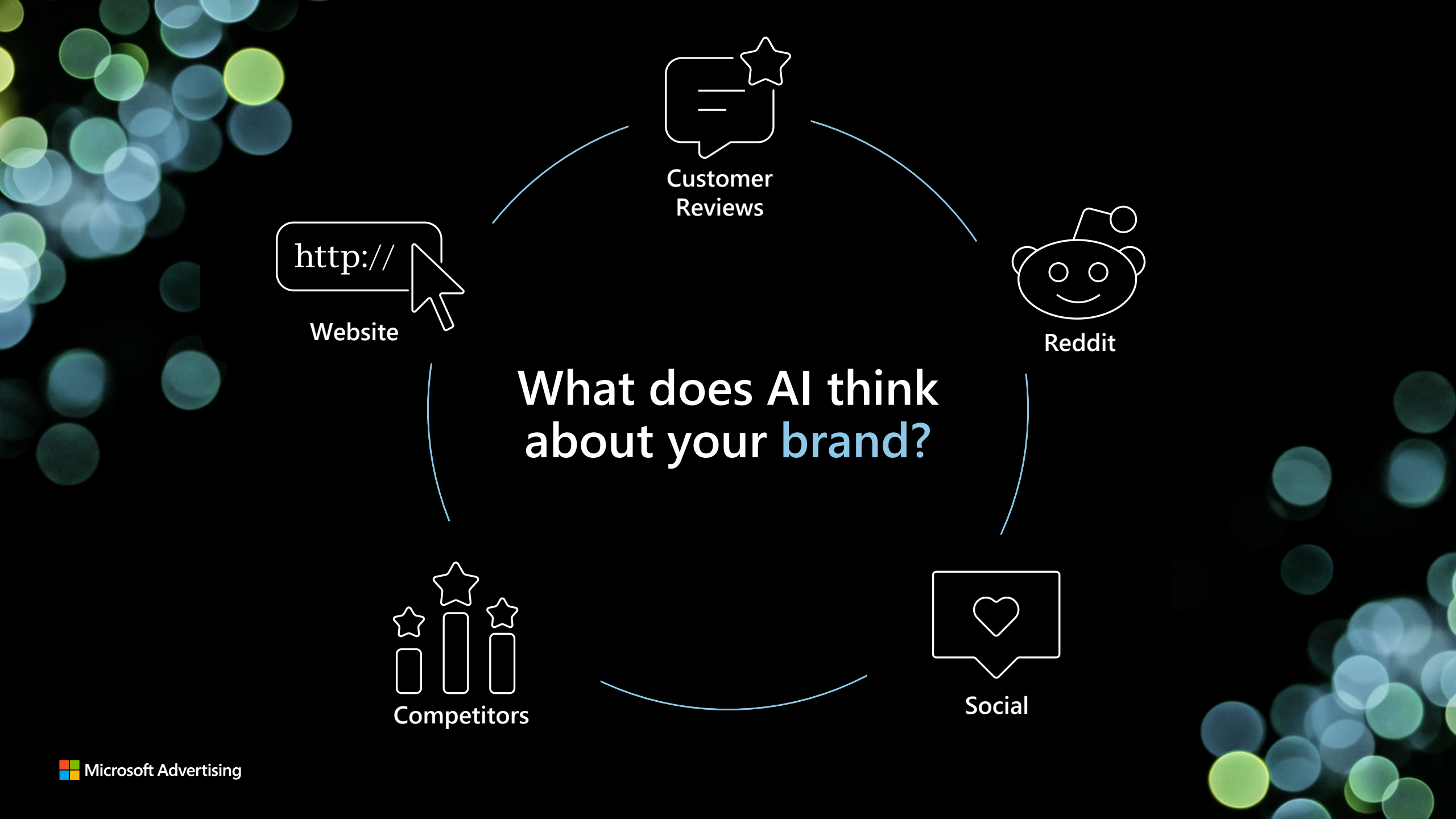
Only AI Max and Performance Max have the ability to adapt to evolving consumer behavior—by using AI to reach increasingly complex queries and generate relevant creative in Copilot in real-time.

This helps your campaigns stay resilient as consumer journeys become more conversational, compressed, and intent-rich.

Beyond ads,
what does AI see from your brand?



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Understand how AI represents and cites you **with Microsoft Clarity**

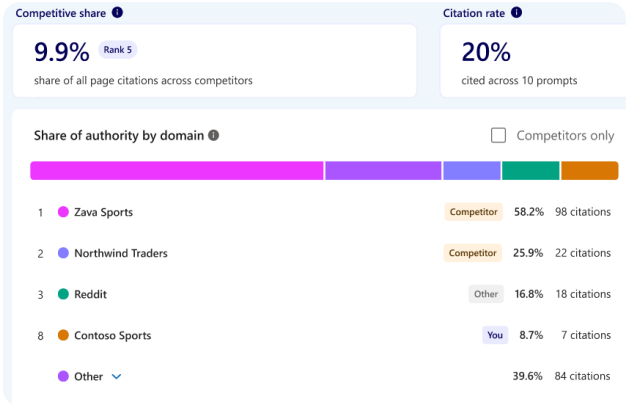
01

The topics you're cited on

	Query		SoA	Citations
1	northwind casual shoes	Branded	18.00%	7.00K
2	performance soccer shoes for athletes	Non-branded	20.50%	6.10K
3	walking shoes	Non-branded	19.00%	5.90K
4	professional tennis shoes for tournaments	Non-branded	27.50%	5.50K
5	northwind running shoes	Branded	30.00%	4.80K
6	northwind crossfit shoes	Branded	32.00%	4.50K
7	northwind slip-on shoes	Branded	17.50%	4.30K

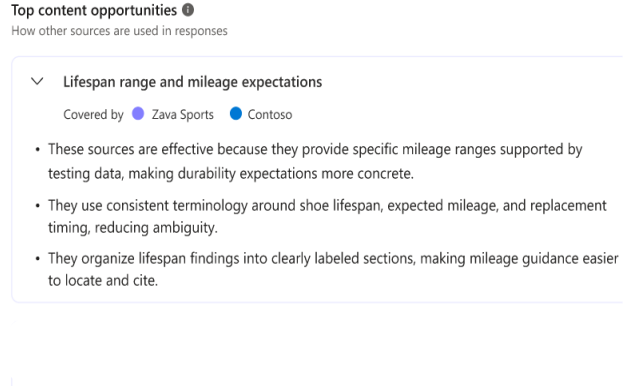
02

Your competitive share of authority



03

Your top content opportunities



Then use your own brand agent to **increase conversions** when shoppers arrive to your site

A turnkey AI shopping solution in Clarity tailored to your brand voice–connected to your Shopify or WooCommerce catalog.



Increase
cart conversions



Turning everyday questions
into high-intent conversations



Help shoppers discover
more, decide faster, and
buy with confidence

You can win high-value holiday shoppers with Microsoft **across all three eras of the web this season**

Websites and Apps

Audience ads
To drive awareness
and consideration

AI Max and Performance Max
To drive early discovery
and capture intent

LLMs and Chat

Merchant Center
To share your full
product catalog
and activate UCP

AI Max and Performance Max
To improve your ads on
Copilot Search in Bing
and the Copilot app

Agents

Clarity
To understand how
your brand is found
and chosen through AI

Brand Agents
To give every customer
a personal shopper
on your website

NEW ON YOUTUBE

The Holiday Best Practices for Advertisers playlist

Prepare for peak season with seven short, on-demand videos packed with practical strategies to improve campaign performance, apply AI-powered insights, engage high-intent audiences, and measure success more effectively throughout the holiday season!

Why this is a must-watch:

1. Prepare campaigns ahead of peak shopping periods
2. Improve performance with proven holiday strategies
3. Apply AI insights to reach high-intent consumers

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Ready for holiday success? Scan to watch now

Winning Holiday: Three Takeaways

01 Activate seasonal messaging in October to reach shoppers while they are still researching before peak competition.

02 Combine Audience Ads, Search, Shopping, Performance Max, and remarketing to build awareness, capture active intent, and re-engage shoppers across multiple touchpoints.

03 Respond to changing shopper intent with AI-powered optimization, refreshed creative, flexible budgets, and relevant offers from Black Friday through last-minute December demand.

Ready to win this holiday season?

Contact your Microsoft Advertising account team today to build and activate your customized holiday strategy.

Contact an expert


Thank you
Microsoft Advertising